Deviating from these principles to appease populists risks undermining these objectives.

Furthermore, empowering populists within IOs can allow them to reshape the organizations to align with their agendas. For example, the EU faced pressure to reinstate funds it had withheld from Hungary because of democratic backsliding, a move that could have compromised its commitment to upholding core EU values.[4] World Bank president Ajay Banga similarly looked to shift institutional activities to "focus on mutual benefits" like job creation in a pitch to preserve US cooperation ahead of Trump's second term.[5] Concessions such as increased control within IOs might enable populists to erode institutional missions, clawing back sovereignty or pursuing policies counter to the IO's founding principles.

Finally, such concessions may bolster populists' domestic standing, reinforcing their image as effective negotiators who can stand up to international elites. By securing tangible victories over IOs, populists can strengthen their political support at home, potentially emboldening further defiance on the international stage. Thus, while concessions may preserve short-term institutional stability, they risk enabling populists and undermining IOs' long-term goals and legitimacy. In the concluding chapter, we discuss how using sidelining strategies in conjunction with strategies of appeasement may help ameliorate some of these undesirable outcomes.

5.1 How IOs Appease Populists

When populist leaders grow disenchanted with IOs, they often engage in a range of oppositional tactics, as explored in earlier chapters. In response, IOs strive to counter this resistance, motivated by a need to keep these states engaged. One of their key strategies is to lower the political and economic costs of participation, effectively enticing populists to remain within the fold. While populists may bristle at IOs' elite character and perceived encroachments on sovereignty, they also recognize the tangible benefits of membership. These include access to economic assistance, expert policy advice, valuable information, dispute-resolution mechanisms, and reduced barriers to trade and investment (Keohane 1984; Dai 2002).